

25NWCV04166 25NWCV04166

County: los-angeles

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Case Number: 25NWCV04166 Hearing Date: July 21, 2026 Dept: SED

LARRY PARSONS, ET

AL. V. FREDY CHINA, ET AL.

CASE NO.: 25NWCV04166

HEARING: 07/21/2026 @

9:30 a.m.

#7

TENTATIVE ORDER

Defendant Island Legacy

Holdings, Inc.'s unopposed motion to set aside default is CONTINUED to August 11, 2026, at 9:30am.

Defendant is ordered to file a responsive pleading by August 4, 2026.

Moving party to give notice.

Defendant Island Legacy Holdings (Defendant) moves for an order to set aside the default.

Background

On November 24, 2025, Plaintiffs

Larry Parsons and Joy Teng (collectively, Plaintiffs) filed the operative

Complaint against Defendants Fredy China, China's General Construction Corp., Island Legacy Holdings, Inc., and Does 1 through 50, inclusive, asserting five causes of action: (1) Negligence; (2) Breach of Contract; (3) Fraud; (4) Unjust Enrichment; and (5) Violation of Business & Professions Code Section 7031.

On December 1, 2025, Plaintiffs served Defendant by personal service.

On January 4, 2026, Plaintiffs requested entry of default. The clerk entered the default the following day on January 5, 2026.

On February 23, 2026, Defendant filed the instant motion.

On June 16, 2026, Defendant filed an amended motion.

On July 9, 2026, Defendant filed a supplemental memorandum of points and authorities in support of its motion.

No opposition or reply has been filed.

Legal Standard

"The court may, upon any terms as may be just, relieve a party or his or her legal representative from a judgment, dismissal, order, or other proceeding taken against him or her through his or her mistake, inadvertence, surprise, or excusable neglect... [The application] shall be made within a reasonable time, in no case exceeding six months, after the judgment, dismissal, order, or proceeding was taken." (Code Civ. Proc., §473, subd. (b).)

Although a trial court has discretion to vacate the entry of a default or subsequent judgment, this discretion may be exercised only after the party seeking relief has shown that there is a proper ground for relief, and that the party has raised that ground in a procedurally proper manner, within any applicable time limits." (Cruz v. Fagor America, Inc. (2007) 146 Cal.App.4th 488, 495.) "The

defendant must ... demonstrate a satisfactory excuse for not responding to the original action in a timely manner.” (Id. at 504.) Moving parties have the initial burden to prove excusable neglect by a preponderance of competent evidence. (Kendall v. Barker, (1988) 197 Cal.App.3d 619, 624.)

Analysis

As a preliminary matter, Defendant timely filed a motion to set aside the default on February 23, 2026, less than six months after the Clerk entered Defendant's default on January 5, 2026. (Code Civ. Proc., § 473, subd. (b).) After retaining counsel, Defendant filed an amended motion on June 16, 2026. The Court construes the June 16, 2026 amended motion as the operative motion, which likewise was filed within the six-month period prescribed by Code of Civil Procedure section 473, subdivision (b). However, the Court declines to consider Defendant's Supplemental Memorandum of Points and Authorities, filed on July 9, 2026, because it was not timely filed under the applicable notice requirements.

Defendant contends that its failure to timely respond to the Complaint resulted from mistake or excusable neglect. (Motion, pp. 3-6; Bellospirito Decl., ¶¶ 2, 5-11.) Specifically, Defendant declares that its authorized agent attempted to defend the action without legal counsel because the corporation lacked sufficient funds to retain an attorney and he was unaware that a corporation could not appear in propria persona. (Bellospirito Decl., ¶¶ 2, 5-9.) Defendant further declares that, after obtaining sufficient funds, it retained counsel, promptly sought relief from the default, and is prepared to file a proposed answer and actively participate in the litigation. (Id., ¶¶ 7-13.)

Although Defendant's showing is minimal, the Court finds that Defendant has sufficiently demonstrated that the default resulted from a mistake concerning the corporation's ability to appear without counsel. Defendant represents that its authorized agent attempted to respond to the Complaint but mistakenly believed he could do so on the corporation's behalf, was unaware that a corporation may appear only through licensed counsel, and retained counsel once

sufficient funds became available.

No opposition has been filed, and there is no indication that granting relief will substantially prejudice Plaintiffs. Moreover, California law strongly favors resolving cases on their merits whenever reasonably possible. (*Fasuyi v. Permatex, Inc.* (2008) 167 Cal.App.4th 681, 695.) Under these circumstances, and in the exercise of its discretion, the Court finds Defendant has made a sufficient showing to warrant relief under Code of Civil Procedure section 473, subdivision (b).

However, the Court notes that, although Defendant's original motion included a proposed responsive pleading, the operative amended motion does not. While the amended motion and supporting declarations refer to a proposed answer being "filed concurrently" with the motion, neither the amended motion nor the supporting declarations attaches the proposed pleading. (Motion, p. 3; *Bellospirito Decl.*, ¶ 8(c).) Code of Civil Procedure section 473, subdivision (b), requires that an application for discretionary relief "shall be accompanied by a copy of the answer or other pleading proposed to be filed therein."

Conclusion

Accordingly, the Court CONTINUES Defendant's Motion to Set Aside Default to August 11, 2026, at 9:30am, to permit Defendant to cure this procedural defect. Defendant shall file and serve a proposed responsive pleading no later than August 4, 2026. Failure to comply with this order may result in denial of the motion.